

Shariah Board Report

الحمد لله رب العالمين، والصلاة والسلام على خاتم الأنبياء والمرسلين، محمد المصطفى الأمين، وعلى آله وأصحابه أجمعين، وبعد:

All praises to Allah (ﷻ). This was the 22nd year of Islamic commercial banking for Meezan Bank which is under review. During the year, the Shariah Board (SB) of Meezan Bank held four meetings to review various matters, referred to them by the Bank.

Alhamdulillah, this year Meezan Bank was recognized as 'Best Bank' by Pakistan Banking Awards, for the fourth time, which is the most prestigious award of the banking sector of Pakistan. This award reflects the hard work and commitment of the entire team of Meezan Bank towards the cause of promoting Islamic banking in Pakistan.

Alhamdulillah, the CFA society of Pakistan has also recognized Meezan Bank as the 'Best Bank of the Year - Large Size Banks' and the 'Islamic Bank of the Year' for 2023. Furthermore, the Bank was again given the **Shariah Authenticity Award** and the **Shariah Auditor of the Year Award** by the **Global Islamic Finance Awards (GIFA)**.

Meezan Bank's Shariah Compliance Department (SCD), comprising of a team of professionals, works under the guidance of the Shariah Board (SB). The main objective of this department is to facilitate and ensure Shariah compliance in all processes, procedures and products. This includes the refinement of existing products and procedures, organizing Islamic banking training & awareness sessions and Shariah compliance reviews of transactions. The SCD also serves as the secretariat to the Bank's Shariah Board.

We appreciate the efforts of entire staff of the Bank towards promoting and strengthening the environment of Shariah compliance in the Bank. It gives us comfort to observe a high level of commitment of the staff, management and the Board members of the Bank towards ensuring Shariah compliance.

We are pleased to share the major achievements of Meezan Bank towards the growth of Islamic banking during the year ended December 31, 2024:

Research & New Product Development

We are pleased to inform that the Bank played a leading role as the Joint Financial Advisor of the Government of Pakistan (GoP) towards the issuance of Rs 1.92 trillion GoP Sukuk this year. Notably, this marks the highest amount of GoP Sukuk issued in any calendar year in Pakistan. These issuances have not only assisted the GoP in its efforts to convert the banking system into Islamic but have also contributed to reducing its financing cost and budget deficit. All these issuances were successfully carried out through Pakistan Stock Exchange, enabling all sectors of the economy including individuals, to directly invest in GoP Sukuk and earn halal profit on their investment.

As part of the Joint Financial Advisors, Meezan Bank also advised and provided assistance to the Government in developing the first ever Sustainable Investment Sukuk Framework which would pave way for the issuance of Sovereign Domestic Green and Sustainable Sukuk in Pakistan.

During the year, the Bank launched Meezan Asaan Student Account providing dedicated current (Qard-based) and savings (Mudarabah-based) account products for students, offering a range of value-added services tailored to meet their needs. The Bank also relaunched Meezan Plus Account, a Mudarabah-based remunerative current account to facilitate businesses in their various transactional needs. In order to facilitate depositors in their transactional needs, with the approval of Shariah Board, the Bank also allowed certain deposit and withdrawal related services without any charges on current accounts in line with guidelines of AAOIFI Shariah Standard No. 19 (Qard).

The Bank also relaunched its durable financing product, 'Consumer Ease' for its staff and payroll customers on the basis of Musawamah, providing affordable durable financing solutions, disbursing a total of 483 cases in 2024.

The Bank also launched one-of-a-kind and innovative campaigns for Car Ijarah at 0% rental rate and Apni Bike at 0% over invoice value, providing affordable car and bike financing facilities in line with Shariah guidelines to its customer base in line with their needs.

In order to enhance the knowledge and capacity of branch banking staff, a dedicated Shariah Knowledge Handbook covering various areas of Islamic banking particularly branch banking, consumer and pool management was circulated among the staff.

We are pleased to share that the Bank is focusing on increasing access to finance for the SME sector in Pakistan. Despite challenging market conditions, the SME portfolio grew by 44.1%, from Rs 20.2 billion in 2023 to Rs 29.1 billion in 2024. The Bank provided financing to 272 distributors in the SME sector, through the digital Shariah-compliant financing platform in collaboration with Haball. The Bank has included distributors of two new Anchors (National Foods Ltd. and Packages Convertor, Ltd.) in its financing portfolio along with distributors of a leading multinational company through the digital Shariah-compliant financing platform in collaboration with Haball. To further increase access to financing for SMEs, the Bank has continued to provide financing facility under subsidized-rate Islamic SME Asaan Finance scheme (I-SAAF) introduced by State Bank of Pakistan. As of December 31, 2024, the total number of SMEs financed by the Bank under I-SAAF scheme are 1,054, with total outstanding financing of Rs 6.45 billion.

The Bank has introduced two Shariah-compliant Indirect Financing products to enhance outreach to rural communities: (1) Grower Finance under Tijarah and Murabaha modes, which provides in-kind financing for agricultural inputs to registered sugar mill growers from sowing to harvest, and (2) Wholesale Finance to Microfinance Institutions enabling these institutions to offer

financing to small farmers. These initiatives have successfully provided financing of Rs 2 billion to 10,628 farmers, including 7,000 women, promoting agricultural growth and financial inclusion in rural areas.

Throughout the year, 14 Shariah-compliant syndicated transactions & Sukuk issuances for various private and public sector entities involving various structures such as Ijarah, Diminishing Musharakah and Running Musharakah were executed for infrastructure development, capital expansion and project financing related needs.

Shariah Compliance

The SB recognizes the efforts of SCD department for conducting around 294 customer and industry visits and reviewing more than 3,798 different types of financing cases as per the guidelines of SB.

In 2024, the SCD conducted review of 198 branches of the Bank to assess basic knowledge of branch staff and general Shariah environment of the Bank. The SCD also conducted Shariah review of 24 departments/functions of the Bank to ensure that their operations are in line with the SB guidelines.

During the year, the SB provided guidelines for various matters including:

- Approval of alternate product for bill discounting using Sukuk;
- Approval of alternate of Karobar Dost Finance product;
- Approval of different deposit accounts;
- Approval of various policies and manuals;
- Approval of training and audit plans;
- Approval for certain free services on current account; and
- Discussion on various solutions for Hybrid/Asset Light Sovereign Sukuk.

Training & Development

During the year, 360 training sessions were conducted, catering to around 14,700 employees of the Bank. These sessions included orientations and batch training for new joiners, as well as refresher programs such as Basics of Islamic Banking, Asset Products, Key Concepts of Deposit Products & Pool Management, Understanding Consumer Products, Understanding CAD Documentation & Operations, Understanding Trade Finance Products & Documentation, and the Islamic Banker Certificate. We are pleased to inform that the Bank launched 3 digital learning modules on the internal Learning Management System (LMS), which was attended by 15,100+ (Module-1), 14,700+ (Module-2) and 14,200+ (Module-3) staff members respectively. The Bank also conducted 3 specialized 'Train the Trainer' programs for the Internal Shariah trainers of the Bank. Furthermore, the Bank conducted six programs of Advanced-level Interactive training for senior executives in Karachi, Lahore and Islamabad.

The Bank continues to support various universities for the capacity building of their faculty members, equipping them to provide knowledge about Islamic Banking effectively to their students. In 2024, the Bank engaged with 19 universities including the NED University of Engineering & Technology (NED UET), Bahria University, Institute of Business Management (IoBM), The COMSATS University – Islamabad (CUI), Bahauddin Zakariya University (BZU), Multan, Shaheed Zulfiqar Ali Bhutto Institute of Science and Technology University (SZABIST) Karachi, Air University, etc. across the country for academic and capacity building of their faculty members.

The Bank had also collaborated with NIBAF - National Institute of Banking & Finance for a certificate program on Islamic finance for the business faculty of different universities in Lahore and Karachi. The program was attended by more than 90 faculty members and Insha'Allah, will enable them to provide knowledge about Islamic banking to their students effectively.



2024 Highlights

- **294** Customer & Industry Visits
- **3,798** Financing Reviews
- **198** Branch Reviews
- **24** Department Reviews
- **360** Training Sessions
- **14,700** Employees Trained
- **3** Digital Learning Modules Launched

We are pleased to share that the Bank is making considerable efforts towards establishing strong ethical values in line with Islamic cultural values. The Bank arranged various sessions on leadership and ethical values from renowned speakers, and multiple internal sessions on the Role of an Islamic Banker for Branch Managers have also been conducted.

Additionally, the Bank has introduced a series of educational videos by our Shariah Scholars for internal staff to enhance their knowledge of Islamic Banking and Finance and also launched Ramadan specific video series titled Paigham-e-Ramazan with the theme of inculcating good Islamic habits in light of the Quran and Sunnah.

To create awareness of Islamic banking among the general public, the Bank conducted 251 seminars in major cities, attended by more than 22,000 participants from different spheres of society. During the year, the Bank conducted 10 workshops for its Corporate and SME customers across different cities in Pakistan, two of which were in collaboration with IBA Centre for Excellence in Islamic Finance (IBA-CEIF). For general public awareness, two educational webinars were also conducted titled Istaqbal-e-Ramazan and Fundamentals of Zakat covering important Islamic aspects.

We are pleased to share that the Bank is also contributing to the capacity building of university students in Islamic banking and has launched the second batch of 'Meezan Justuju' in Karachi, Lahore, and Islamabad, where around 200 students would receive 42 credit hours of training in Islamic finance. The Bank also launched a program, in collaboration with NED UET, for digital and software related training to promote entrepreneurship and technical capacity development of masses. This program was attended by around 380 individuals.

Shariah Advisory & Industry Support

The SB is also pleased to share that the Bank is actively supporting the Islamic Finance industry across the globe by providing tailor-made Shariah advisory solutions for their business needs. The following are the notable advisory services provided by the Bank during the year:

- Advisory and support to several microfinance companies including SAFCO Microfinance Company (Private) Limited, Rural Community Development Programmes (RCDP) and CSC Empowerment & Inclusion Program in terms of establishing Islamic branches/windows by developing Shariah-compliant products, reviewing policies and procedures, and building capacity and training employees. Through this initiative, a Shariah-complaint financing facility is available for the low-income population of rural areas.
- Shariah advisory services and support to a digital bank for the establishment full-fledged Islamic digital bank.
- Shariah advisory services and support to one of

Pakistan's leading brokerage house for the establishment of first Islamic subsidiary to provide services to the public and institutions in trading Shariah-compliant shares and Sukuk.

- Shariah advisory services to Pakistan's leading Mutual Funds having a major share of the Islamic Mutual Funds industry in terms of, including but not limited to, investment avenues, the launching of funds and plans, and the review of policies and manuals, etc.
- Screening services to Pakistan Stock Exchange (PSX) in bi-annual re-composition of KMI-30 and PSX-KMI All Share Indices.
- Assisted multiple brokerage houses in developing Shariah-complaint trading windows. To date, Meezan Bank has successfully equipped 39 brokers to offer a Shariah-compliant Trading Platform for PSX.
- Developed multiple Shariah structures for various privately placed Sukuk issued by telecommunication, pharma and FMCG companies.

Review of Assets

The Bank has maintained diversification in the usage of various financing products, as evident from the Bank's financing portfolio. The Bank has mainly focused on financing through Musharakah modes, and these constitute 68% of the Bank's total financing. The Bank's total financing portfolio reached Rs 1,556 billion (gross) as of December 31, 2024. Breakup of different financing modes is as follows:

We have noted that, as per our guidelines, the Bank reversed the financing of Rs 289.5 million provided to its customers under Murabaha & Musawamah without any profit, as those transactions could not be converted into real trade due to genuine business reasons.

Financing Modes	2024 %	2023 %	Growth / (Decline) in total portfolio %
Musharakah & Running Musharakah	45.9	24.4	21.5
Diminishing Musharakah	22.4	29.9	(7.5)
Istisna	11.1	15.8	(4.7)
Ijarah	4.5	6.4	(1.9)
Musawamah	3.3	7.4	(4.1)
Murabaha	2.1	2.2	(0.1)
Wakalah Tul Istithmar	1.9	3.1	(1.2)
Salam – Commodity	1.9	2.7	(0.8)
Tijarah	1.4	1.8	(0.4)
Salam – Bills	0.1	0.1	0
Other	5.4	6.2	(0.8)

Summary of Direct Payment in Murabaha Financing

During the year 2024, almost 99% of payments for Murabaha financings were made through banking channels like Pay Order/Crossed cheques/Account transfer/RTGS into supplier's accounts through our customer. It is highly recommended that efforts be continued to maintain this percentage of direct payments in Murabaha transactions. Ensuring payment to the supplier from banking channels is encouraged as it is essential for financial inclusion and reducing undocumented trade culture.

It is worth mentioning that, in order to strengthen Shariah compliance, physical inspection of delivery of goods was carried out in almost all Istisna and Tijarah transactions.

Liquidity Management

For the purpose of liquidity management, the Bank invested Rs 1.7 trillion in GoP Sukuk. With the increase in Sukuk issuance, the Bank has reduced its reliance on Bai Muajjal transactions, which stood at Rs 35 billion in December, 2024, in line with last year.

Review of Deposits

It is heartening to see deposits grow by 16.6% to reach a sum of Rs 2,585 billion as of December 31, 2024. During the year, the process of allocation of assets and funds to various deposit pools, announcing overall profit-sharing ratios for Mudarabah-based deposits, monthly allocation of weightages, and distribution of income to deposit accounts were monitored and reviewed in accordance with the respective pool management guidelines of SBP and Meezan Bank.



Customer deposits
Rs 2,585 Bn
 Increase of 16.6%

We are pleased to share that Meezan Bank's management has made efforts to increase deposit rates and, in this regard, focus was on certain deposit segments such as women, senior citizens, mobile wallet account holders and New-to-bank (NTB) customers to attract them towards Islamic banking by providing attractive investment options.

Shariah Audit

In compliance with the Shariah Governance Framework issued by the State Bank of Pakistan (SBP), a dedicated Shariah Audit Department, reporting to the Audit Committee of the Board, is in place. This department plays a significant role in accomplishing the objective of ensuring Shariah compliance by evaluating adherence to Shariah guidelines prescribed by the Shariah Board, Resident Shariah Board Member, and the Shariah guidelines of the Islamic Banking Department of the SBP. This department submits its report to RSBM/SB for information, review and determination of appropriate corrective actions.

During the year under review, Shariah Audit of 949 branches, area offices, consumer & corporate hubs, and Head Office departments was conducted as a part of the Bank's efforts to strengthen the internal Shariah controls mechanism. These audits not only covered the assessment of financial transactions and operational activities undertaken by the branches/departments but also include an evaluation of the staff's knowledge of Islamic finance.



Shariah Audit of 949 branches

area offices, consumer, corporate hubs, and Head Office departments conducted.

Charity

An amount of Rs 215.23 million was transferred to the Charity Payable Account during the year. This includes Rs 7.24 million to eliminate the non-compliant income portion identified during Shariah audit, Rs 23.68 million to purify the dividend income earned from investment made in the Shariah-compliant stocks by the Bank, and Rs 160.03 million transferred to Charity Payable Account in the normal course of business on account of non-timely payments by customers in various financial transactions. An amount of Rs 195 million was disbursed from the Charity Account after approval of the RSBM/SB.



Rs 215.23 Bn

Transferred to Charity Payable Account



Details of charity account are available in note # 22.5

Suggestions

For the purpose of further improving the business of the Bank and the overall Islamic Banking Industry, the following are our suggestions. Some of them are reiterated to emphasize the ongoing nature of these recommendations.

Purpose of Existence

- It is emphasized that this message should be clearly communicated within the Bank that all the efforts that are being made for the growth of Islamic Banking should be driven by the primary objective of pleasing Allah (ﷻ).

Grooming of Staff

- The Bank should continue its efforts to provide training on ethical and religious values along with job-related trainings to its employees.
- Since banking industry is undergoing a transformation and requires rigorous efforts from Bank's personnel, therefore efforts should be made to focus on capacity enhancement of our staff so that they can guide their customers towards the right path.

Conversion of Financial System

- Bank should find ways to offer support to different financial institutions towards conversion to Islamic financial system, especially micro finance institutions, brokerage houses, fintech, etc.
- Bank should also strive to reach out to its customers and support them in converting their financing needs towards Islamic financing.
- Being a Premier Islamic Bank, the Bank should continue to provide maximum support to the Government and State Bank of Pakistan for their efforts towards the Islamization of the financial system
- The Bank, in its role as Joint Financial Advisor to Ministry of Finance, should strive to develop different types of Sukuk structures like Asset light Sukuk, Green Sukuk, Hybrid Sukuk, etc. to cater to various financing and investment needs of different sectors of society.
- The Bank, in its role as a Joint Financial Advisor to Ministry of Finance, should also look to explore and structure Sukuk transactions that promotes sustainable and socially responsive financing.

Banking Outreach

- It is strongly advised that the Bank should continue its focus on increasing financing to SME sector and consider utilizing digital platform for this purpose. Agriculture sector is very important in the economy of Pakistan and it is suggested that the Bank should also strive to increase its footprint in the agriculture sector and should aim to create its leadership position in this area as well.
- The Bank should strive to make collaborations with different micro and nano-financing institutions and incubation centers to increase the reach of Islamic finance to this segment of society.

Shariah Compliance Environment

- The Bank should explore different mediums to disseminate Islamic finance knowledge both among the staff and to the masses. In this regard, the Bank may make use of short videos, tutorials, podcasts, case studies, documentaries, animated videos, etc.
- In the current scenario of declining benchmark rate, the Bank should focus on bringing more efficiency and cost control in its systems and processes.
- The Bank should continue its focus on strengthening Shariah controls and fostering a culture of accountability for Shariah non-compliance to ensure Shariah compliance in all spheres of banking.

Awareness

- The Bank should explore different ways to engage with its current and prospective customers through seminars, workshops, industry visits and addresses their concerns to bring them closer to Islamic banking.
- The Bank should continue to collaborate with different trade bodies and chambers to create awareness about Islamic banking among the business community.
- The Bank should continue its effort to arrange focused sessions for different segments of society, such as women, children, university students, media persons, journalists, etc.

Conclusion

As per the Charter of the Bank, it is mandatory for the management and employees to ensure the application of Shariah principles and guidelines issued by the Shariah Board and Resident Shariah Board Member, and to ensure Shariah compliance in all activities of the Bank. The primary responsibility for ensuring Shariah compliance of the Bank's operations thus lies with the Board of Directors and Executive Management.

Based on extensive reviews of sample cases for each class of transaction, related documentations, processes, profit distribution mechanism for the depositors by the SCD, as well as the review of Internal Shariah Audit and External Shariah Audit reports and Management's representation in this regard, the Bank, in our opinion, has complied with the rules & principles of Islamic Shariah in light of the guidelines and directives given by the Shariah Board, Resident Shariah Board Member of Meezan Bank, and the guidelines issued by the Shariah Advisory Committee of the SBP related to Shariah compliance. The non-compliant income identified during the review is being transferred to the Charity Account through a well-defined system and is being utilized properly in accordance with the instructions of the SB.

Based on the strength and capacity of the full-fledged SCD and the policies and guidelines for Shariah compliance issued at the Bank, we are of the opinion that an effective mechanism is in place to ensure Shariah compliance in overall operations of the Bank.



Mufti Muhammad Naveed Alam
Resident Shariah Board Member



Mufti Zubair Ahmed
Member, Shariah Board



Sheikh Esam Mohamed Ishaq
Member, Shariah Board



Dr. Muhammad Imran Ashraf Usmani
Member, Shariah Board



Justice (Retd.) Muhammad Taqi Usmani
Chairman, Shariah Board

Dated: 9th Shaaban 1446 H / February 8, 2025